

TENTATIVE RULINGS

Date: April 21, 2025

#	Case Name	Tentative
1	Model Builders, Inc. vs. Pham 2024-01382108	Demurrer to Amended Complaint Defendant Tony Dang’s Demurrers to the First Amended Complaint are SUSTAINED as to the sixth, seventh, eighth and ninth causes of action. Defendant Dang’s Request for Judicial is GRANTED as to Nos. 1, 2, 3, 4, 6, 7, 9, and 10 and DENIED as to Nos. 5 and 8. The Court does not take judicial notice of the truth of factual matters asserted in the documents. “A court may take judicial notice of the [e]xistence of each document in a court file but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” <i>People v. Franklin</i> (2016) 63 Cal. 4th 261, 280. Plaintiffs allege they did not receive the Demurrer, but on reply Defendant Dang attached the proof of service on Plaintiffs’ counsel and Defendant Loc Pham by One Legal. <u>Sixth Cause of Action – Fraud</u> The elements of a cause of action for fraud are: (1) misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages. (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 173.) “In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” <i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 645. “This particularity requirement

necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” *Ibid*.

The FAC alleges that Defendant Dang misrepresented his official capacity within Model Builders, Inc. and that he was not a licensed general contractor. (FAC ¶ 95.) He made these misrepresentations without the consent or knowledge of Plaintiffs when he entered into an agreement with Phung Van Tong. (FAC ¶¶ 4, 5.) Such misrepresentations caused a judgment against Plaintiffs Model Builders and Nghia Dao. (FAC ¶ 93.) Plaintiffs were then forced to enter into a settlement agreement with Phung Van Tong when they were not involved in the transaction between Defendant Dang and Tong. (FAC ¶ 94.)

In the underlying action, Case No. 30-2018-01036570 filed by Phung Van Tong against Nghia Dao d/b/a Model Builders and Tony Dang (“Previous Action”), the court found that current Plaintiff Dao was a signatory to the agreement with Tong – not Defendant Dang. Even though Defendant Dang was sued in the Previous Action, the court found no liability against him. (RJN, Ex. 6.) Therefore, without additional facts, Plaintiffs cannot state a claim for fraud against Defendant Dang.

Moreover, the fraud claim is barred by the statute of limitations. A claim for fraud must be brought within three years. *Code of Civil Procedure* § 338(d).

In paragraph 5 of the FAC, Plaintiffs allege Defendant Dang entered into an agreement with Tong without Plaintiffs’ consent and authorization. A dispute arose between Tong and Dang and a lawsuit was filed which is has been designated as Previous Action. (FAC ¶¶ 7 and 8.) In the Previous Action the First Amended Complaint (RJN, Exhibit 1) was filed and it became the operative pleading on 4/3/19. Plaintiff Dao, dba as Model Builders, was served with the First Amended Complaint and appeared by filing an Answer on July 29, 2019. (RJN, Exhibit 2) As a result, Plaintiff Dao had knowledge of the fraud which he is now claiming no later than July 29, 2019, because the “fraudulent” agreement that Plaintiff Dao alleges in paragraph 5 of this FAC was attached to the First Amended Complaint in the Previous Action. This action was filed on February 26, 2024, which is more than three years when Plaintiff Dao would have discovered any alleged fraud committed by Defendant Dang.